



2026:AHC:33179-DB

HIGH COURT OF JUDICATURE AT ALLAHABAD

WRIT - C No. - 3581 of 2008

Kamakhya Steels P Ltd And Another

.....Petitioner(s)

Versus

Pvvnl And Another

.....Respondent(s)

Counsel for Petitioner(s)	: B.C. Rai, Dinesh Rai, Stuti Rai
Counsel for Respondent(s)	: Pranjal Mehrotra, H.P. Dube, Pankaj Kumar Shukla, S.C.

Court No. - 1

HON'BLE AJIT KUMAR, J.

HON'BLE SWARUPAMA CHATURVEDI, J.

1. Heard Sri Bidhan Chandra Rai, learned Senior Advocate assisted by Sri Dinesh Rai, learned counsel appearing for the petitioner, Sri Ram Chandra, learned Advocate holding brief of Sri Pranjal Mehrotra, learned counsel appearing for respondent concerned and learned Standing Counsel for the State respondents.

2. This petition has been filed by M/s Kamakhya Steels Pvt. Ltd. against the order passed by the assessing authority as well as by the appellate authority under the U.P. Electricity Supply Code, 2005 and the Electricity Act, 2003 rejecting the objection of the petitioner without even dismissing objection of the petitioner, holding him liable for the payment of electricity charges as per the order of final assessment.

3. It is a case where provisional assessment took place for a period from 06.05.2007 to 16.08.2007 and from 16.08.2007 to 23.10.2007.

4. Petitioners admittedly are the industrial electricity consumer of the respondents licensee corporation. This is like the previous matter being Writ C No. 20210 of 2012 with which this petition was connected. Similar pleas are raised questioning the order of the final assessing authority as the outer chamber of the meter was found to be with broken seal and same conclusion was drawn in final summary report as under:-

"Conclusion

Although no direct theft of electricity has been detected in metering system of M/s Kamakhiya Steel Pvt. Ltd. the following facts lead to conclude the possibility of theft.

- 1. Tampered seals of CT/PT chamber of main meter.*
- 2. Considerable difference (varying from 9.17% to 19.75%) in energy sent from 132KV sub-station Bijnor and the total sum of receipt of energies of all the three consumers connected on the 33 KV feeder viz.*

(A) M/S Kamakhiya Steel

(B) M/S Jain Steel

(C) 33/11 KV S/S Avas Vikas"

5. We have already reproduced similar conclusion in petition bearing Writ C No. 20210 of 2012 and we find that there also the objection raised by the petitioners were not accorded due consideration by the assessing authority and it simply drew a conclusion by referring to the reports that it was a case of theft and resultant unauthorized use of electricity.

6. In this case the authority has relied upon a checking report after the check meter was installed and arrived at a conclusion that the difference in meter reading showed that the original meter was slowly working and it is on that basis that impugned order has come to be passed for additional units to the tune of 2,97,779 for the purpose of payment of electricity dues.

7. In our considered view unless and until there was a finding returned to the effect that there was a case of electricity theft as the matter was not found to be tampered with seal broken, a mere slow working of a meter with resultant less reading would not amount to theft. The authority ought to have sent the meter for technical assessment to find out as to whether any tempering was done or not and whether it was a manufacturing defect, and that having not been done, the authority seems to have hypothetically arrived at a conclusion that the petitioners were required to be settled that the liability for payment of additional units for the difference between the checking meter and the original meter.

8. The objection of the petitioners have also not been considered properly in this case. Accordingly this petition also deserves to succeed and is accordingly **allowed**. The order passed by the final assessing

authority namely, Executive Engineer dated 23.10.2007 and consequential orders are all hereby quashed. The matter is remitted to the assessing authority to pass order a fresh after considering the objections of the petitioners and to record a finding as to how and under what circumstances the case of possibility of theft can be taken as a case of actual theft to make a consumer liable for difference of units between the checking meter and the original meter. Appropriate order shall be passed by the assessing authority under the U.P. Electricity Supply Code, 2005 within a period of two months from the date of production of certified copy of this order.

9. It is made clear that whatever amount has already been deposited shall remain deposited with the respondents to be abide by the final order to be passed by the assessing authority.

(Swarupama Chaturvedi,J.) (Ajit Kumar,J.)

February 13, 2026

#Vikram/-